

CO-OWNERSHIP AND PROPERTY OPERATING AGREEMENT

Draft Version 3.0 — A Comprehensive Framework for Mutual Success and Protection

Effective Date: [Insert Date]

Preamble: Our Guiding Principles

This Comprehensive Co-Ownership Agreement (the "Agreement") is entered into with the utmost respect, transparency, and shared ambition. The parties involved recognize that embarking on a joint real estate venture is a significant financial and personal commitment. We are choosing to invest together because we believe in each other, and we are putting these comprehensive rules in writing specifically to protect our relationship. Life is unpredictable; markets change, careers pivot, and families grow. By outlining every foreseeable contingency now—while we are excited and aligned—we ensure that no future surprise can undermine our relationship or our financial security. This document is designed to be highly protective, structurally sound, and fair to all parties involved.

Article 2: Strategic Rationale and Investment Philosophy

2.1 The Shift to Strategic Co-Ownership

The Parties recognize that traditional paths to homeownership in the current market often force families to settle for properties that do not provide optimal value. This Agreement is built on a 5-year strategy to transition from competing for overpriced entry-level housing to acquiring premium assets that offer superior equity growth and long-term security.

2.2 The Golden Rule: Buy Dirt

The Parties acknowledge that while structures (roofs, appliances) are depreciating assets, land appreciates. The Parties prioritize the ownership of the land surrounding the Property to maximize long-term equity growth, avoiding the depreciation typical of non-landed properties like townhomes or mobile homes.

2.3 Avoidance of Non-Recoverable Costs

The Parties agree that Homeowner Association (HOA) fees are non-recoverable, non-equity costs that erode purchasing power and wealth. By targeting a premium single-family home without an HOA, the Parties protect cash flow from arbitrary increases and ensure that monthly payments actively build equity.

2.4 Financial Strategy

The Parties utilize a 5-year mathematical model where pooling resources to acquire a premium asset with an Accessory Dwelling Unit (ADU) generates higher equity growth than individual ownership of entry-level property, due to economies of scale in asset quality and appreciation.

2.5 Strategic Preference for New Construction

The Parties agree to prioritize properties with modern construction (ideally built after 2020) to capitalize on superior energy efficiency, turnkey condition, and to bypass the maintenance backlogs and hidden renovation costs typical of older homes.

Article 3: Operational Pillars

3.1 Balanced Management Responsibilities

To ensure a fair division of labor and operational harmony, the Parties designate the following roles. One role will be assigned to each family based on preference:

- **Role 1: Financial Administrator (Upstairs Family):** Responsible for the administrative books, including payment of mortgage, property taxes, insurance, shared utilities, and calculating monthly Rent Equalization adjustments.
- **Role 2: Property Manager (Downstairs Family):** Responsible for the physical asset, including routine maintenance, yard care, snow removal, and oversight of repairs to maintain the Property in pristine condition.

3.2 Exit Equity Percentage Tracker

The Parties shall maintain an Exit Equity Percentage Tracker to quantify the relative impact of all financial contributions on the final ownership distribution. Unlike a simple cash ledger, this tracker specifically calculates how capital injections or mortgage coverage during hardship translate into percentage shifts in terminal equity. To ensure fairness, this mechanism explicitly accounts for the time-value of money; contributions made earlier in the Agreement's term are weighted more heavily to reflect their greater duration of exposure to market appreciation. This tracker remains a distinct accounting tool from the Gap Funding mechanism in Section 3.3, focusing solely on the mathematical weighting of equity shares rather than the repayment terms of private down-payment loans.

3.3 Gap Funding

Gap Funding functions as a private 'Down Payment Assistance' mechanism. When one Party provides capital to another to assist with the initial purchase or ongoing obligations, this transaction constitutes a loan. This loan shall carry a set interest rate consistent with the Default penalty rate defined in Article 11. This funding is protected by the same non-payment penalties as monthly obligations.

Penalty Mechanics: Non-payment of these obligations impacts the Exit Equity Percentage but does not affect the Monthly Obligation Equity Percentage. Consequently, while these percentages are identical at the commencement of this Agreement, they shall diverge in the event of non-payment, where the defaulting Party's Exit Equity Percentage is reduced relative to their Monthly Obligation Equity Percentage.

Article 4: The Parties

This Agreement is formally made and entered into by and between the following individuals (collectively referred to as the "Co-Owners" or "Parties"):

- **Carters:** Jared Carter and Melinda Carter, jointly holding their designated interest.
- **[Your Family Name]:** [Insert Co-Owner Name(s)], jointly holding their designated interest.

Article 5: Property Identification and Strategic Purpose

5.1 Property Description

The Parties agree to jointly acquire, maintain, and eventually transition a residential real estate property (the "Property"). The targeted criteria for this Property are strictly defined as follows:

- **Geographic Location:** Davis County, Utah
- **Structural Layout:** A single-family residence featuring a structurally distinct main living area (the "Upstairs") and a functional basement apartment also known as an Accessory Dwelling Unit or ADU (the "Downstairs"). The Downstairs must have a separate entrance, kitchen, laundry, bathrooms, and bedrooms. The Carters are willing to live either Upstairs or Downstairs if it has a minimum of three bedrooms and two bathrooms.
- **Target Acquisition/Move-In:** Summer 2026.

5.2 Purpose and Term

The primary purpose of this Agreement is to establish a mutually beneficial equity-building

vehicle through joint property ownership. The designated investment horizon is exactly five (5) years from the date of closing. At the conclusion of this 5-year term, the exit strategies detailed in Article 10 shall be triggered.

Article 6: Title, Ownership Structure, and Capital Accounts

6.1 Vesting of Title

Title to the Property shall be held by the Parties as **Tenants in Common**. This ensures that each Party's ownership share is distinct and can be passed to their respective heirs, rather than automatically transferring to the surviving Co-Owners. Alternatively, if mutually agreed upon prior to closing, the Parties may form a Utah Limited Liability Company (LLC) to hold the title, with ownership units distributed in accordance with the Ownership Percentages defined below.

6.2 Ownership Percentages

Equity, baseline financial obligations, and voting rights are determined strictly by the Ownership Percentages. These percentages must total 100%.

Co-Owner Entity	Target Ownership Percentage	Initial Capital Contribution
The Carters	[50.00%]	[\$Amount]
[Your Family Name]	[50.00%]	[\$Amount]

6.3 Capital Accounts

A separate Capital Account shall be maintained for each Party. The Capital Account will be credited with the Party's initial down payment and any approved principal contributions (e.g., approved capital improvements). Routine maintenance, interest payments, property taxes, and insurance do *not* increase the Capital Account balance. In the event of a sale or buyout, the distribution of proceeds will first return the Capital Account balances before dividing remaining profits according to Ownership Percentages.

Article 7: Financial Obligations

7.1 The Joint Operating Account

Prior to closing, the Parties shall open a joint checking account (the "Operating Account"). Both Parties shall be authorized signers. This account will be used exclusively for paying the mortgage, property taxes, homeowner's insurance, and shared utilities.

7.2 Monthly Contributions

Each Party agrees to deposit their portion of the total monthly carrying costs into the Operating Account no later than the 25th day of the preceding month to ensure sufficient clearing time. A Party's baseline mortgage and tax contribution is directly tied to their Ownership Percentage, subject to the Rent Equalization adjustments in Article 5.

7.3 Reserve Fund

To protect against unforeseen expenses (e.g., broken water heaters, roof leaks), the Parties agree to establish and maintain a Reserve Fund of no less than \$[10,000.00]. This fund shall be built by adding a proportional monthly contribution from each Party until the target balance is achieved. If the fund is depleted for an approved repair, the Parties will resume monthly contributions until it is replenished.

7.4 Insurance Specification

The Parties agree to maintain, at a minimum, a standard homeowner's policy and a mutual umbrella liability policy of at least \$1,000,000.00 to protect the partnership from third-party claims.

Article 8: Occupancy, Space Allocation, and Rent Equalization

8.1 Exclusive vs. Shared Spaces

The Property will be divided into "Exclusive Spaces" (the primary living area and the basement ADU) and "Shared Spaces" (e.g., specific exterior grounds, shared utility rooms). Each Party holds the right to quiet enjoyment of their designated Exclusive Space.

8.2 The Rent Equalization Formula

Because the physical layout creates unequal living environments, physical occupancy is decoupled from equity ownership. Fairness is achieved through the following Rent Equalization Formula:

$$\text{Rent Adjustment Payment} = ((R_{\text{Main}} + R_{\text{Downstairs}}) \times 0.50) - R_{\text{Downstairs}}$$

Where R_{Main} is the appraised rental value of the Upstairs and $R_{Downstairs}$ is the appraised rental value of the Downstairs. The occupant of the Upstairs shall pay the occupant of the Downstairs this calculated monthly difference.

1. **Market Valuation:** Within 30 days prior to closing, the Parties will mutually agree upon the fair market rental value (FMRV) of the Main Floor and the FMRV of the Basement ADU. (e.g., Main Floor FMRV = \$2,400/mo; ADU FMRV = \$1,400/mo. Total FMRV = \$3,800/mo).
2. **Usage Calculation:** The Party occupying the more valuable space consumes a higher percentage of the Property's utility.
3. **The Payment Offset:** The Party occupying the higher-value space will pay an Equalization Premium into the Operating Account. This premium will directly reduce the monthly out-of-pocket mortgage contribution of the Party in the lower-value space, ensuring neither side subsidizes the other's living standard.

8.3 Utilities

8.4 Utility True-Up

At the end of every 12-month cycle, the Parties shall reconcile total utility costs paid against monthly contributions. If there is a variance greater than \$200.00, the Parties shall settle the difference to ensure fair distribution of costs based on actual usage.

Utilities that can be reasonably metered or sub-metered will be paid by the consuming Party. Shared utilities (e.g., main water/sewer, high-speed internet) shall be divided based on a mutually agreed formula, typically proportionate to the number of occupants in each household or a flat 50/50 split, documented in Exhibit A.

Article 9: Property Management and Decision Making

9.1 Routine Decisions

Decisions regarding standard, routine maintenance of Shared Spaces costing less than \$[500.00] require only simple communication. Both Parties authorize the other to act swiftly in the event of an active emergency (e.g., a burst pipe) to mitigate damage, with costs to be reconciled proportionally after the fact.

9.3 Quarterly Reviews

To ensure ongoing transparency and alignment, the Parties shall conduct a formal meeting on a quarterly basis. The purpose of this review is to audit the Operating Account, discuss current property maintenance needs, and confirm that both families remain fully aligned on the

long-term strategic vision for the investment.

9.4 Shared Maintenance Duty

The Parties agree to maintain shared indoor areas (hallways, entryways, laundry) through a bi-weekly rotating schedule, or alternatively, by hiring a joint cleaning service, the cost of which shall be treated as a shared utility.

9.2 Major Decisions

Unanimous written consent is required for any "Major Decision." Major Decisions include, but are not limited to:

- Incurring shared expenses or initiating capital improvements exceeding \$[1,000.00].
- Refinancing the mortgage or placing any secondary liens (e.g., HELOC) on the Property.
- Altering the structural footprint of the Property.
- Renting out any portion of an Exclusive Space to a third-party tenant (short-term or long-term).

Article 10: Maintenance, Repairs, and Capital Improvements

10.1 Exclusive Space Maintenance

Each Party is solely responsible for the cleaning, cosmetic upkeep, and minor interior repairs of their Exclusive Space. Damage caused by a Party, their children, guests, or pets shall be repaired entirely at that Party's expense.

10.2 Shared System Repairs

Repairs to major shared systems (roof, foundation, exterior envelope, central HVAC, main plumbing lines) are joint expenses, funded first by the Reserve Fund, and then proportionally based on Ownership Percentages.

10.3 Value-Add Capital Improvements

If the Parties unanimously agree to execute a capital improvement that adds definitive value to the home (e.g., a deck addition, a major kitchen remodel in a shared area), the costs will be shared proportionally. These contributions will be recorded and added to each Party's respective Capital Account.

10.4 Bi-Annual Property Audit

The Parties shall conduct a joint walkthrough of the entire Property twice per calendar year. This audit is designed to assess structural health, identify potential maintenance needs early to prevent costly repairs, and ensure the Property is consistently maintained in "show-ready" condition throughout the term.

Article 11: Default, Breach, and Remedies

Financial stability is paramount to this agreement. A "Default" occurs if a Party fails to make their required financial contribution to the Operating Account by the 1st of the month, or materially violates any other provision of this Agreement.

11.1 Notice and Cure Period

The non-defaulting Party must provide written Notice of Default. The defaulting Party shall have fifteen (15) days to cure a financial default, and thirty (30) days to cure a non-financial default.

11.2 Remedies for Financial Default

If a Party fails to cure a financial default, the non-defaulting Party may advance the required funds to prevent mortgage delinquency. Such advances will be treated as a high-interest loan (accruing at [10%] annually) owed by the defaulting Party. If the default is not cured within ninety (90) days, it shall trigger an involuntary buyout right, allowing the non-defaulting Party to purchase the defaulting Party's equity at a [15%] penalty discount to fair market value.

11.3 The Ultimate Boundary

If a Co-Owner misses the equivalent of six monthly contributions within any rolling 12-month period, they shall forfeit their remaining equity in the partnership and lose their right to reside in the Property.

Article 12: The 5-Year Exit Strategy and Dissolution

The core thesis of this partnership is a 5-year cycle. On the 5th anniversary of the Property closing, the dissolution protocol automatically commences unless both Parties unanimously sign a formal extension agreement.

12.1 Valuation Process

The Parties shall jointly hire a licensed, independent real estate appraiser familiar with Davis County properties to determine the Current Fair Market Value (CFMV). If the Parties cannot

agree on an appraiser, each will hire their own, and the two appraisals will be averaged.

12.2 Right of First Offer (Buyout)

Once the CFMV is established, the Parties have 30 days to negotiate a buyout. If Carters wishes to buy out [Your Family Name], the buyout price equals [Your Family Name]'s Ownership Percentage multiplied by the hypothetical net equity (CFMV minus outstanding mortgage and estimated closing costs). If both Parties wish to buy the other out and retain the home, they shall submit blind, sealed bids above the CFMV, and the highest bidder wins the right to purchase.

12.3 The Co-Sign Guarantee

Provided the departing Co-Owner maintained a flawless payment history during the 5-year term, the staying Co-Owner agrees to co-sign on the departing Co-Owner's new mortgage, leveraging the Property's ADU rental history to support the loan qualification.

12.4 Open Market Sale

If neither Party executes a buyout, the Property will be immediately prepared for open-market sale. The Parties agree to cooperate fully with a chosen real estate broker, keep the Property in "show-ready" condition, and accept any bona fide offer that falls within 5% of the appraised CFMV. Net proceeds will be distributed by returning Capital Account balances first, then dividing the remainder strictly by Ownership Percentages.

Article 13: Marriage and Spousal Integration

13.1 Status of Married Couples

Where a Co-Owner entity consists of a married couple, both individuals are deemed Co-Owners under this Agreement, jointly holding the interest assigned to that Party.

13.2 Integration of New Spouses

If a single Co-Owner marries during the term of this Agreement, the new spouse shall, within 90 days of the marriage, formally be added to the title and execute an addendum to this Agreement, assuming the obligations and rights of the Co-Owner. Failure to integrate the new spouse as a signatory shall be considered a default under Article 11.

Article 14: Unforeseen Life Events (Hardship Exits)

14.1 Early Exit Conditions

If a Party experiences a severe life event requiring relocation or liquidation before the 5-year term expires (e.g., death, severe disability, divorce, involuntary job relocation over 50 miles away), they must provide 90 days' written notice. The remaining Party holds the right of first refusal to buy out the exiting Party's share at full fair market value as determined by the appraisal by either Co-Owner (or the average of two appraisals if both Co-Owners wish to pay for their own appraisal). If the remaining Party cannot or chooses not to execute the buyout, the exiting party may sell their shares on the open market for any price. At the time of sale, the remaining party may propose a new agreement to the buyer. In order for the sale to be valid, the buyer must sign their choice of the original agreement, the current agreement (the original agreement with any changes that have been made), or the new agreement (if one was presented by the remaining party).

14.2 Death

In the event of the death of one individual within a married Co-Owner entity, that individual's interest shall automatically transfer to the surviving spouse, who shall assume full ownership and all obligations of the Co-Owner entity. If a sole Co-Owner dies, or if a surviving spouse chooses not to retain the interest, the interest shall pass to the deceased's estate or designated heir. In such cases, the remaining Co-Owner entity shall retain a priority option to purchase the interest from the estate or heir at Fair Market Value.

14.3 Divorce

In the event of a divorce between two individuals forming a single Co-Owner entity, the parties to the divorce must determine which individual (or both) retains the Co-Ownership interest. The interest cannot be partitioned. The departing spouse must relinquish their interest to the staying spouse or the Co-Owner entity, or trigger the early exit buyout clause if neither spouse retains the interest. Both spouses must continue to pay all financial obligations equally during the period of divorce proceedings while determining who will retain the property. Any unpaid funds resulting from a failure to pay during this period shall be automatically deducted from the equity of the Co-Owner in accordance with the remedies in Article 11, to protect the interests of the non-divorcing Co-Owner entity. Any failure by a divorcing member to pay their share must be resolved between the divorcing parties outside of the scope of this Agreement.

14.4 Severe Disability

For purposes of this Agreement, a Co-Owner shall be deemed to suffer from a "Severe Disability" upon the written certification by a licensed, independent physician that the Co-Owner has a physical or mental impairment that substantially limits one or more major life activities,

renders the Co-Owner unable to perform their customary daily responsibilities, and is expected to persist for a period of not less than six (6) months or the remainder of the Co-Owner's life. Documentation of such medical certification must be provided to the other Co-Owner(s) promptly upon receipt.

In the event a Co-Owner is certified as having a "Severe Disability," they (or their legal guardian) shall have the right to trigger the Early Exit Conditions outlined in Section 14.1. The remaining Co-Owner shall have the first right of refusal to purchase the interest of the disabled Co-Owner at Fair Market Value to ensure the disabled party can liquidate their equity if needed for care or living adjustments.

Article 15: Conflict Resolution and Mandatory Mediation

To ensure disputes do not escalate into relationship-ending litigation, the Parties agree to the following binding sequence for conflict resolution:

1. **Good Faith Meeting:** A formal, scheduled sit-down discussion over a meal to attempt amicable resolution within 10 days of a grievance being stated.
2. **Professional Mediation:** If unresolved, the Parties will engage a professional, neutral mediator in Utah. Costs will be split 50/50.
3. **Binding Arbitration:** As a final resort, disputes will be submitted to binding arbitration in Davis County, Utah, in accordance with the rules of the American Arbitration Association. The prevailing party shall be entitled to recover reasonable attorney's fees.

15.2 Escalation for Minor Annoyances

Minor grievances should be addressed within 48 hours via private, casual conversation. Should an annoyance recur more than three times, it shall be added to the agenda of the next scheduled Quarterly Review meeting for resolution.

Article 16: General Legal Provisions

- **Severability:** If any part of this Agreement is deemed legally unenforceable, the remainder of the Agreement shall remain in full force and effect.
- **Governing Law:** This Agreement shall be governed by and construed in accordance with the laws of the State of Utah.
- **Formal Notice Protocol:** To maintain a clear and reliable record of communication, all official notices regarding this Agreement—specifically including Notices of Default, Hardship Exits, or Amendment requests—must be delivered formally via email or certified

mail.

- **Entire Agreement:** This document represents the entire understanding between the Parties, superseding all prior oral or written negotiations. Any amendments must be made in writing and signed by all Co-Owners.

Article 17: Household Rules (Exhibit B)

- **Parking Allocation:** Driveway and street parking will be divided equally. Each unit is allocated two (2) designated parking spaces.
- **Quiet Hours:** Quiet hours will be observed from 10:00 PM to 7:00 AM on weekdays, and from 11:00 PM to 8:00 AM on weekends.
- **Pets:** Co-owners may keep household pets in compliance with local city codes. Pet owners are responsible for immediate waste cleanup in shared outdoor areas.
- **Guest and Hosting Protocol:** Guests staying less than 3 days are considered Short-Term. Guests staying 3–14 days are Extended-Term. Any guest intending to stay longer than 14 consecutive days requires unanimous written consent from all Co-Owners.

Article 18: Partnership Communication Philosophy

The Parties agree to approach all conflicts and operational decisions with a "partnership-first" mindset. We acknowledge that the relationship between the families is the most valuable asset of this agreement. We commit to proactive, non-adversarial communication, agreeing to raise concerns early and honestly before they escalate into formal disputes.

Article 19: Disclaimers

This Agreement is intended for private discussion among friends and family. It does not constitute formal financial, legal, or investment advice. The Parties acknowledge that entering into a real estate partnership involves significant financial risk and are encouraged to consult with independent legal counsel regarding the implications of this Agreement.

Exhibit B: Good Neighbor Guidelines

The Parties agree to sign and attach an addendum detailing specific expectations for yard maintenance, driveway parking, guest policy, and quiet hours, which shall be incorporated into this Agreement by reference.

Signatures and Execution

IN WITNESS WHEREOF, we place our signatures on this Agreement, fully understanding its terms, the financial commitments required, and our shared dedication to the success of this partnership and our ongoing friendship.

Co-Owner Family Name:

Name:

Signature:

Date:

Name:

Signature:

Date:

Co-Owner Family Name:

Name:

Signature:

Date:

Name:

Signature:

Date:
